

DeFi and the Future of Finance

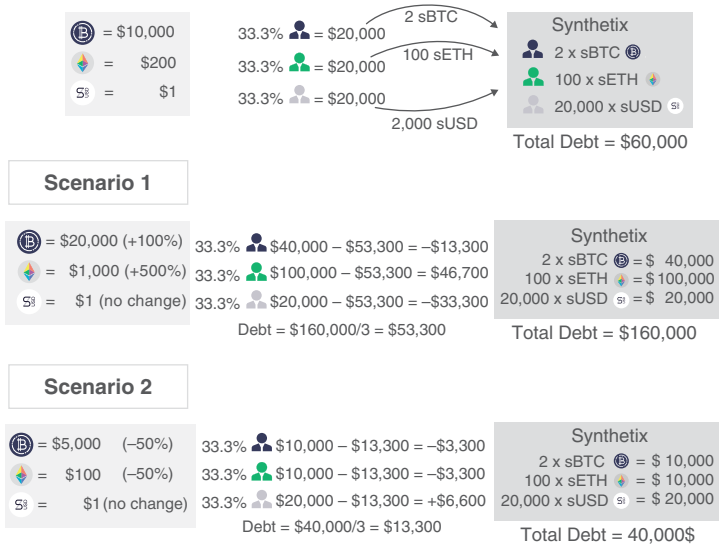


Figure 6.11 The Mechanics of Synthetix

proportion to their percentage of the debt. The contracts enforce that SNX holders can redeem their fees only if they maintain a sufficient collateralization ratio relative to their portion of the debt. The required collateralization ratio to mint Synths and participate in staking rewards is high, currently 750 percent. The Synthetix protocol also mints new SNX tokens via inflation to reward various stakeholders in the ecosystem for contributing value. The protocol distributes the rewards as a bonus incentive for maintaining a high collateralization ratio or increasing the liquidity of SNX.

As of writing there were 36 crypto synths available for trading and seven foreign currency synths. Synthetix also allows users to trade certain equities as well as gold and oil. The protocol is also beginning to offer a binary options